MICRON TECHNOLOGY, INC.

(NASDAQ: MU)

Firm Analysis Report

Student Managed Investment Fund Competition — Chicago 2026

Prepared by Lewis University Investment Club

Sections: Business Niches, Diversification,
Stockholder Performance, Financial Strengths & Weaknesses,
Valuation & Recommendation

Analysis Period: FY2021 – FY2025, extended with trailing twelve months to 28 May 2026 (Q3 FY2026)

Valuation priced at the 14 September 2026 close ($924.03); performance and peer data through the 15 September 2026 close

Data Sources: SEC EDGAR (10-K, 10-Q, 8-K), Micron Investor Relations, LSEG Workspace (Fundamentals, I/B/E/S, Price History), FRED, Interactive Brokers historical data

Report Date: 16 September 2026

SELL / UNDERWEIGHT

Twelve-Month Target Price (Base Case): $548

Current Price: $924.03 (14 Sep 2026 close) | Implied Downside: −41% | Target Range: $500 – $570

Method weighting: consensus-anchored scenario DCF 70%; forward comparables, forward-book P/B and asset floor 30% | WACC 14.1%

The thesis in one paragraph. We take LSEG I/B/E/S consensus as given through FY2028 and disagree with it only from FY2029. At $924 Micron trades at 6.0× FY2027 and 5.2× FY2028 consensus earnings. Those are not expensive multiples. They are the multiples of a business the market expects to keep earning at a level the memory industry has never sustained. The recommendation is therefore not a claim that price exceeds consensus; it is a claim that consensus extrapolates a peak, and that the years consensus does not reach are the years that decide the valuation. Micron is a commodity memory manufacturer whose current 83–87% business-unit gross margins are an industry-wide shortage rent, not a product moat (§1, §5.2); its balance sheet is exceptional and its capital intensity is structural (§4); and the reverse DCF shows that $924 requires roughly $240B of revenue at a 77% gross margin sustained in perpetuity (§5.6). The bull case sits at $900, only 3% below market, so the call rests entirely on the probability that the memory cycle reasserts itself after FY2028. What would change our mind is specified in §5.10.

How the sections connect. §1 identifies four durable positions and shows that none of them explains the current margin. §2 shows that Micron's apparent diversification collapses to a single risk factor, the memory price, and that its fixed-cost base is being ratcheted up at the top of the cycle. §3 shows that shareholders have already been paid for the cycle: +1,239% total return in five years, with a −58% drawdown inside it. §4 quantifies the cycle in ratios and isolates the one structural strength (net cash) and the one structural weakness (capital intensity). §5 values the business on the assumption that the cycle survives HBM, and tests what must be true if it does not.

1. Business Niches: Positions, Not Margins

A memory bit is economically interchangeable. Two DRAM die of the same density, node and speed grade perform the same function in the same socket, which is the structural reason the industry has historically failed to earn its cost of capital across a cycle: when the product is fungible, price converges on the marginal cost of the most desperate supplier. Listing Micron's product categories therefore answers the wrong question. The question is where Micron holds a position a fungible-bit producer could not, and this section applies a three-part test to each candidate: does it command a price or margin premium over baseline DRAM and NAND; does a barrier prevent replication inside one product cycle of roughly eighteen to twenty-four months; and does it survive a downcycle, or only appear when supply is short. Positions that fail the third test are shortage rents wearing a niche costume.

On that test Micron holds **four durable positions, and none of them currently explains its margin.** The first is survivorship: more than twenty firms made DRAM in the early 1990s and three now control roughly 85% of the market, and Micron holds one of those seats because it bought the assets of the losers at distressed prices (Texas Instruments' memory operations in 1998, Elpida in 2013, Inotera in 2016, the IM Flash joint venture from Intel in 2019) and, in March 2026, 300,000 square feet of finished 300mm cleanroom at Tongluo, Taiwan for $1.8B, roughly $6,000 per square foot, bought in the middle of a shortage when cleanroom is worth more than the cost of pouring concrete. The second is high-bandwidth memory: by stacking DRAM die and co-designing the package with a specific accelerator, HBM converts a flat commodity into a customer-qualified part, and Micron is the third supplier in a three-supplier market at roughly 18–22% share, sampling HBM4 above 11 Gbps. The third is long-life embedded: the Automotive and Embedded unit generated $4.6B in Q3 FY2026, 11% of revenue, against qualifications that automotive, industrial and defense customers hold for ten to fifteen years, the direct inheritance of the 2010 Numonyx acquisition and the Manassas, Virginia fab. The fourth is sovereign: Micron is the only United States-based memory manufacturer, a policy-created position no competitor can enter, with $3.41B of CHIPS Act incentives receivable at quarter end and, as the cost of it, direct-funding agreements that restrict the share repurchase authorization (§4.4). The crack in the first position is CXMT, which has moved from roughly 4% to roughly 10% of DRAM units in a year, is state-backed, and is not yet competitive at the leading edge or in HBM; it is the first credible new entrant in two decades and the principal source of incremental commodity supply in our bear case (§5.7).

Business unit	Revenue $M	% of rev.	GM % yr-ago	GM %	Op. margin %	YoY revenue growth
Cloud Memory (HBM-weighted)	13,769	33.2	58	83	78	>300%
Core Data Center	11,524	27.8	38	87	83	≈653%
Mobile & Client	11,521	27.8	24	87	86	≈250%
Automotive & Embedded	4,634	11.2	26	79	75	>4×
Total company	**41,456**	**100**		**84.6**		**+346%**

Exhibit 1: Business-unit economics, fiscal Q3 2026 (quarter ended 28 May 2026). Business-unit revenue sums to $41,448M against $41,456M reported. Source: Form 8-K exhibit 99.1, 24 June 2026; year-ago margins from the same release. GAAP.

Exhibit 1 contains the single most important diagnostic in this report, and it is not the growth. **Mobile & Client, structurally the least differentiated unit Micron has, posted the joint-highest gross margin in the company at 87%, four points above the HBM-weighted Cloud Memory unit.** A year earlier the same unit ran 24% on $3.3B of revenue; nothing changed about the handset market in twelve months. HBM therefore fails the first part of our own test: it does not command a margin premium over baseline DRAM in the one quarter in which that premium should have been most visible. Every unit re-rated simultaneously, by 25 to 63 points, including those with no defensible differentiation. That pattern is the signature of an industry-wide supply shortage rather than product-level advantage, and it is why we reclassify HBM from a price moat to an **allocation moat**: customer qualification determines who gets to ship into a sold-out market, secures volume and customer position, and lowers variance relative to spot, but it has never set the price per bit. The margin belongs to the shortage. The positions belong to Micron.

Position	Nature of barrier	Time to replicate	Survives downcycle	Margin premium today	Verdict
Survivorship	Capital, process IP, patent estate	Decade-plus	Yes	No	Structural
HBM	Customer qualification, packaging	18–24 months	Partially	No (83% vs 87%)	Allocation moat, not price moat; contested
Long-life embedded	10–15-year qualification cycles	Years	Yes	No (79%)	Structural, small
Sovereign position	Nationality and policy	Not replicable	Yes	No	Structural, constrained
Mobile & Client margin	None identified	Immediate	No	Yes (87%)	Shortage rent

Exhibit 2: Position durability scorecard. Downcycle survival is assessed against the FY2023 trough (GAAP gross margin −9.1%, net loss $5.83B; Form 10-K FY2023). Framework developed for this analysis.

One qualification carries into §2. The embedded unit is often described, including in our own earlier drafts, as uncorrelated with the AI cycle. Its **demand** is uncorrelated: vehicles at Level 2-plus autonomy carry more than five times the memory content of an average vehicle and that content grows regardless of hyperscaler capital budgets. Its **price** is not: it sells the same bit, and it re-rated from 26% to 79% gross margin in the same twelve months as everything else. §2 shows that this distinction between demand diversification and price diversification is the whole of Micron's risk profile.

What §1 hands to the valuation. The four positions determine who is still standing after a downcycle and where the trough sits; they are the reason §4.2 can show a positive ex-writedown gross margin at the worst point of the last cycle and the reason §5 carries an asset floor. They do not determine this year's earnings. The forward question is whether Micron converts the windfall into position, and the evidence cuts both ways: countercyclical cleanroom acquisition in Taiwan, a multi-year domestic capacity program and the strategic customer agreements examined in §2.6 argue that it is; constrained capital returns and a fixed-cost base being ratcheted upward into the peak argue that it is not. The timing matters for §5: Micron's own new capacity (Idaho output from the second half of calendar 2027, Tongluo shipments from fiscal 2028) lands in exactly the years our scenarios have the cycle turning, and the industry's guided calendar-2026 DRAM bit supply growth in the low-to-mid twenties percent is the supply-side assumption behind that turn.

2. Diversification and Risk Exposure: Four Business Units, One Price

Diversification is usually assessed by counting segments, countries and customers. That answers the wrong question: a portfolio of ten assets that move together is a one-asset portfolio. We separate three claims. End-market diversification asks whether demand comes from sectors that can fail independently; geographic diversification asks whether revenue and assets sit in jurisdictions that can be disrupted independently; risk-factor diversification asks whether, after both, cash flows still depend on one variable. Micron scores respectably on the first, worse than it appears on the second, and very poorly on the third.

2.1 Geography: more concentrated, not less, and on a basis that flatters

Region	FY2023	Mix	FY2025	Mix		Concentration measure	FY2023	FY2025
United States	7,758	49.9%	24,113	64.5%		Geographic HHI	0.307	0.449
Taiwan	2,681	17.3%	5,670	15.2%		Effective geographies (1/HHI)	3.25	2.23
Mainland China	2,168	14.0%	2,640	7.1%		Largest single geography	49.9%	64.5%
Other Asia Pacific	752	4.8%	1,913	5.1%		China + Hong Kong share	16.2%	10.1%
Hong Kong	340	2.2%	1,139	3.0%		Segment HHI (Q3 FY26 basis)	n/a	0.277
Japan	987	6.4%	895	2.4%		Effective segments (1/HHI)	n/a	3.61
Europe	682	4.4%	625	1.7%		Effective segments after co-movement test (§2.2)	≈1	≈1
Other	96	0.6%	383	1.0%				
Total	**15,540**	**100%**	**37,378**	**100%**				

Exhibit 3: Revenue by geography (customer headquarters basis) and concentration indices, FY2023 vs FY2025, $M. Herfindahl-Hirschman index is the sum of squared revenue shares; its inverse is the effective number of equally weighted geographies. Source: Form 10-K FY2025 and FY2023 geographic disclosures; indices computed for this analysis.

The apparent story is de-risking: China plus Hong Kong fell from 16.2% of revenue to 10.1% while the United States rose from half to nearly two thirds. Both inferences are wrong. Micron attributes revenue to the location of the customer's headquarters, so a hyperscaler incorporated in California books as United States revenue even when the memory ships to a contract manufacturer in Asia and is integrated into a server assembled there; the 64.5% figure measures where customers are incorporated, not where product goes, and systematically understates physical exposure to Asia. More importantly, the direction of travel is the opposite of diversification: the effective number of independent geographies fell from 3.25 to 2.23 over the same period the business improved, and the largest single geography now accounts for nearly two thirds of revenue.

2.2 The co-movement test: end markets are diverse, risk factors are not

The segment figure in Exhibit 3, 3.61 effective units out of four, is the most misleading number in this report. If segment diversification reduced risk, the segments would have to be capable of moving independently, and fiscal Q3 2026 is an unusually clean natural experiment: Cloud Memory grew over 300% year on year, Core Data Center about 653%, Mobile & Client about 250%, and Automotive & Embedded more than quadrupled. Four businesses serving hyperscale cloud, enterprise servers, smartphones and passenger vehicles, with nothing in common on the demand side, moved in the same direction by the same order of magnitude in the same ninety-one days. FY2023 shows the relationship inverted, with every unit compressed at once into a −9.1% gross margin and a $5.83B net loss. **Micron does not sell smartphones, servers or vehicles; it sells bits into all of them at a single clearing price set by aggregate industry supply against aggregate industry demand.** The pairwise correlation across segments through a cycle is close to one, and the effective number of independent segment bets is approximately one. That single variable sits underneath every exposure that follows.

2.3 Geopolitics: a realized tail risk and a footprint that is not American

Micron is more exposed to state action than almost any company of comparable size, and the tail has already been realized once. In May 2023 the Cyberspace Administration of China concluded that Micron's products failed a cybersecurity review and barred operators of critical information infrastructure, a category China defines expansively, from buying them. Management estimated a low double-digit percentage of revenue at risk and a high single-digit realized impact. It was retaliatory rather than technical, it targeted Micron specifically because its output was the most readily substitutable by Korean suppliers, and it came with no published finding, so there is no remediation path. Litigation is a second front on the same axis: Yangtze Memory has filed patent actions against Micron in the United States, China, Germany and the United Kingdom covering, by Micron's own disclosure, substantially all of the products that generate substantially all of its revenue, and a separate $445M Netlist verdict is under appeal.

The sovereign position identified in §1 must be qualified here. Micron operates roughly fifteen manufacturing sites, and the majority of its leading-edge wafer capacity sits in Taiwan (Taichung, Tainan, Taoyuan and Tongluo), Japan (Hiroshima) and Singapore, with assembly and test in Xi'an and in Penang and Muar. Boise and Manassas do not yet carry leading-edge DRAM volume; the Idaho fab contributes output from the second half of calendar 2027 and New York ramps later in the decade. Micron is an American company with a Taiwanese and Japanese manufacturing base, a Taiwan Strait contingency or a major seismic event is a direct and largely unhedgeable threat to most of its output, and the CHIPS program is best read as a multi-decade attempt to close exactly this gap, which means the gap is currently open.

2.4 Inflation, currency and the fixed-cost ratchet

Inflation exposure is two-sided and currently favorable: DRAM contract pricing rose in the mid-60% range quarter on quarter in fiscal Q2 2026 and NAND in the high-70% range, flowing almost entirely to gross margin, while input inflation in wafers, lithography tools, construction, power and labor bears on the multi-year fab program. Currency is actively hedged rather than left open, with approximately $22.1B of foreign-exchange derivative notional at the end of Q3 FY2026 against $78.96B of nine-month revenue; that program hedges transactions, not the demand or price exposure that drives the business. The more serious risk is operating leverage running the wrong way. **Net property, plant and equipment rose from $46.59B at the FY2025 year end to $56.43B nine months later, construction in progress nearly doubled from $5.52B to $10.94B, and nine-month capital expenditure was $19.60B against $10.20B a year earlier.** Depreciation on that base does not decline when memory prices decline. Micron is raising its fixed-cost floor at the top of the sharpest pricing cycle in the industry's history, which is the decision that produced the −9.1% gross margin of FY2023, and it is the mechanism by which §5's bear case reaches a 25% gross margin on $100B of revenue.

2.5 The new concentration: customer credit

Trade receivables stood at $26.89B at the end of Q3 FY2026 against $7.16B at the FY2025 year end, within total receivables of $31.03B. On the quarter's annualized revenue that is about 59 days of sales; on trailing-twelve-month revenue it is 109 days (§4.5), and the gap between the two figures is itself the growth rate. The issue is not the ratio but the absolute size and counterparty profile: combined data-center revenue exceeded $25B in the quarter, an annualized run rate above $100B from a customer base concentrated in a small number of hyperscalers. Micron has become a large short-duration creditor to the AI capital-expenditure cycle, and it would absorb a meaningful loss if that cycle stopped abruptly.

2.6 The structural offset: strategic customer agreements

The most important development bearing on this section is a mitigant. In Q3 FY2026 Micron disclosed sixteen multi-year Strategic Customer Agreements across data center, consumer and automotive customers, typically on five-year terms. Fourteen carry minimum-price take-or-pay commitments with cumulative minimum revenue of approximately $100B through calendar 2030, to be supported by roughly $22B of customer deposits and financial commitments. If the agreements hold they are the first genuine risk-factor diversification in Micron's history, because they decouple a portion of revenue from the spot price that this section identifies behind every other exposure, and the deposits would address the receivables concentration above once received. Two cautions apply, and the second is from our own balance-sheet work: minimum-price contracts cap upside in a shortage as much as they protect downside in a glut, and **as of 28 May 2026 the deposits had not arrived, with contract liabilities of only $422M** (§4.3). A mitigant that has not been funded is a plan, not a hedge. §5.3 reconciles the $100B management figure with the $5B of audited remaining performance obligations and §5.7 carries the contracted tranche explicitly in the scenarios.

Risk factor	Transmission channel	Realized precedent	Severity now	Where it enters the valuation
Memory price cycle	All four segments simultaneously	FY2023: −9.1% GM, $5.83B loss	Very high	§5.7 all scenarios
Geopolitical, China	Demand ban, litigation, export controls, CXMT supply	May 2023 CAC determination	High	§5.7 bear case
Geopolitical, Taiwan	Majority of wafer capacity at risk	None realized	High, low probability	Not modelled; disclosed
Fixed-cost leverage	Depreciation on rising PP&E	FY2023 downturn	High and increasing	§5.7 margin paths
Customer credit	$26.9B trade receivables	None at this scale	Moderate, rising	§4.5 flag
Pandemic / disruption	Fab continuity, logistics, auto demand	2020–22 bifurcation	Moderate	Not modelled
Inflation, output prices	Favorable: ASP expansion	Current cycle	Positive	§5.5 consensus
Currency	Transaction exposure, hedged	Routine	Low	—

Exhibit 4: Exposure matrix. Severity reflects assessed magnitude of impact on operating cash flow, not probability. Matrix developed for this analysis from Form 10-K FY2025 risk factors and the Q3 FY2026 Form 10-Q.

Verdict. Micron is well diversified by end market, moderately and decreasingly diversified by geography, and effectively undiversified by risk factor. Its business model is highly vulnerable to a major economic, financial or political shock and has demonstrated this twice inside the analysis window, through the memory price collapse of fiscal 2023 and the Chinese regulatory action of May 2023. The mitigants are real but unproven and operate over a multi-year horizon while the fixed-cost base rises today. For §3 and §5 the conclusion is that Micron should be assessed as a single-factor cyclical exposure carrying an embedded structural option, not as a diversified semiconductor franchise, and that its return distribution should be read accordingly.

3. Stockholder Performance: Five Years, Eighteen Months

Over the five years from the 30 September 2021 close to the 15 September 2026 close, Micron delivered a cumulative total shareholder return of **+1,238.5%, or +68.7% annualized**, with dividends reinvested. Ten thousand dollars invested at the start of the window was worth $133,851 at the end. The same amount in the Dow Jones Industrial Average was worth $16,764 (+11.0% a year), in the S&P 500 $18,826 (+13.6%), in the Nasdaq Composite $18,878 (+13.7%), and in the PHLX Semiconductor Index $34,864 (+28.6%). Micron's annualized excess return over the DJIA was roughly 58 percentage points a year. All windows end on the same date as the peer data in §5.8.

Two points about the comparison itself are analysis rather than housekeeping. First, the DJIA, which the competition brief names, is the wrong comparator for a memory manufacturer: a thirty-stock price-weighted index with a 60-month beta of 0.86 and a 15% annualized volatility tells an investor nothing about whether a 2.2-beta semiconductor cyclical earned its risk. The PHLX Semiconductor Index is the fair benchmark, and against it Micron still outperformed by roughly forty points a year, which confirms that the outperformance is specific to memory rather than to semiconductors generally. Second, the closest memory peers are foreign-listed, so all peer returns are measured in U.S. dollars from LSEG's converted price history.

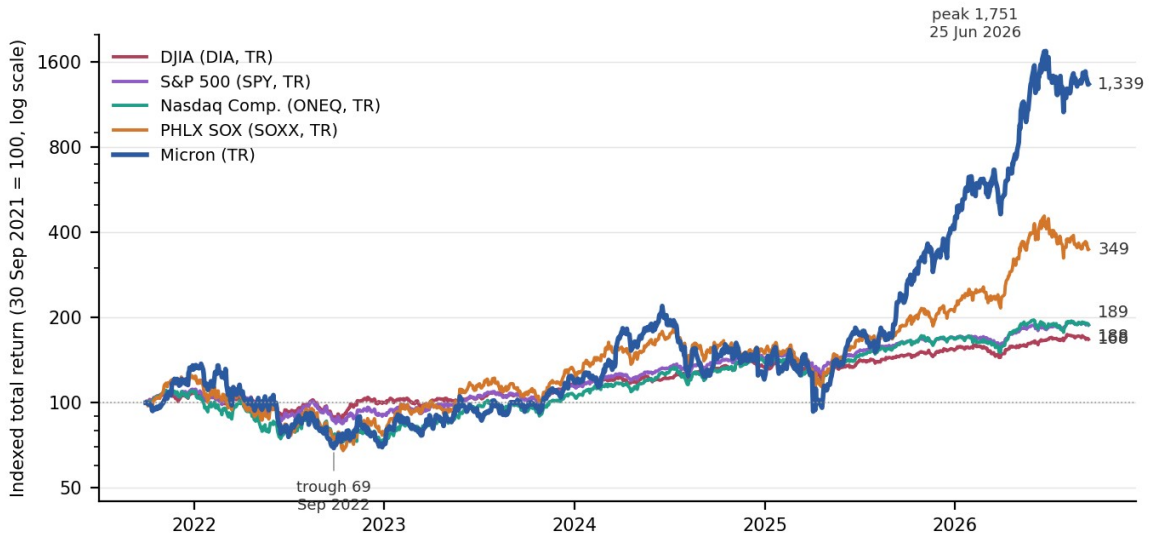


Exhibit 5: Indexed total shareholder return, 30 September 2021 = 100, log scale, daily. Micron: Interactive Brokers historical closes with cash dividends reinvested at the ex-date close. Benchmarks: total return via the DIA, SPY, ONEQ and SOXX ETFs (net of 0.09–0.21% p.a. expense ratios). Data through 15 September 2026.

Security	1-yr TSR	3-yr TSR (ann.)	5-yr TSR (ann.)	5-yr TSR (cum.)	Ann. vol.	Sharpe	Max drawdown	Beta
Micron (MU)	**+488.9%**	**+142.5%**	**+68.7%**	**+1,238.5%**	**68.0%**	**0.96**	**−57.6%**	**2.24**
SK hynix	+426.9%	+150.0%	+73.4%	+1,431.5%	70.1%	0.99	−51.1%	2.28
Western Digital	+302.7%	+131.2%	+58.1%	+868.4%	59.5%	0.91	−55.3%	2.13
Nanya Technology	+601.6%	+96.3%	+47.8%	+592.9%	78.1%	0.56	−71.8%	1.67
Samsung Electronics	+238.1%	+57.9%	+27.4%	+232.6%	47.1%	0.50	−44.7%	1.47
SanDisk	+1,599.3%	n/a	n/a	n/a				
Kioxia Holdings	+1,015.0%	n/a	n/a	n/a				
PHLX Semiconductor (SOXX)	+94.5%	+48.3%	+28.6%	+248.6%	37.6%	0.66	−45.8%	1.81
Nasdaq Composite (ONEQ)	+17.1%	+26.5%	+13.7%	+88.8%	20.4%	0.49	−35.2%	1.22
S&P 500 (SPY)	+15.9%	+22.7%	+13.6%	+88.3%	15.7%	0.63	−24.5%	1.00
DJIA (DIA)	+15.0%	+17.9%	+11.0%	+67.6%	14.9%	0.48	−20.8%	0.86

Exhibit 6: Total shareholder return and risk measures. 1-year from 15 Sep 2025; 3-year from 29 Sep 2023; 5-year from 30 Sep 2021; all to 15 Sep 2026, USD. Multi-year figures are geometric annualized. Risk measures on the five-year window: volatility and beta from 60 monthly total returns against the S&P 500 (SPY); Sharpe uses the average 3-month Treasury bill over the window (FRED TB3MS, 3.78%); maximum drawdown on daily closes. Peers: LSEG price history in USD with an approximate dividend reinvestment from LSEG fiscal-year-end gross yields (material only for Samsung, ≈2.5 pp a year); Kioxia listed December 2024 and SanDisk separated from Western Digital in February 2025, so their multi-year figures do not exist. Computed in codebook/MU_section_3_TSR.ipynb.

Against the memory peer group Micron ranks second on both a five-year and a three-year basis, behind SK hynix and ahead of Western Digital, Nanya and Samsung; on a one-year basis it ranks fourth of seven once the two newer listings are included, and it sits below the peer median of +514%. The pattern matters for the investment case: Micron captured the AI memory cycle decisively relative to the broad market, but it did not lead its own peer group and its one-year return is close to the middle of it. **This was a sector re-rating that Micron participated in, not one it uniquely captured**, which is the same conclusion §5.8 reaches from the multiples: Micron is the vehicle, not the anomaly.

The distribution of the return matters more than its endpoint. An investor who bought in September 2021 lost 29% of their money by December 2022 as DRAM pricing collapsed, was back to roughly the starting level in September 2023, and then watched the position rise 70% to the end of 2024 as the market debated whether HBM volumes were real. Essentially the entire five-year result then arrived in eighteen months: from the end of December 2024 to the intraday high of $1,255 on 25 June 2026 the total return was +1,347%, with April and May 2026 alone returning +53% and +88%. Since that peak the shares have given back 23.6%, closing at $927.60 on 15 September. The largest drawdown in the window, −57.6% between June 2024 and April 2025, occurred in a period with no earnings downcycle at all, which is the sizing point: Micron's return profile cannot be held as a market proxy. On a risk-adjusted basis the record is still strong, with a five-year Sharpe ratio of 0.96 against 0.66 for the semiconductor index and 0.63 for the S&P 500, but it was earned at 68% annualized volatility and a 2.24 beta, and that beta, Blume-adjusted to 1.84, is the input §5.4 uses to discount the cash flows.

Dividends contributed 32 points of the 1,239-point cumulative return. Micron's capital return program is a capital-expenditure-first business's afterthought: $2.0B of dividends and $4.45B of program repurchases over FY2021–FY2025 against roughly $54B of capital expenditure, with repurchases falling to zero in FY2025 (§4.4, Exhibit 8). **What §3 hands to §4 and §5** is that shareholders have already been paid for this cycle in full; the question that remains is whether the earnings power now embedded in the price is the durable base that consensus assumes or the peak of the sharpest memory cycle on record. §4 answers the first half with ratios and §5 the second half with what the price requires.

4. Financial Strengths and Weaknesses: The Cycle in Ratios

Every figure in this section is read through one lens: **a ratio computed on one fiscal year is a single point on a sine wave.** The analysis therefore spans FY2021–FY2025, a complete cycle, and is extended with trailing-twelve-month figures through the third quarter of FY2026 (28 May 2026); the FY2026 Form 10-K did not exist when this report was written, and fourth-quarter results are scheduled for 30 September 2026. The summary judgement: the balance sheet is a genuine and now exceptional strength, the margin structure is a cyclical variable rather than a competitive moat, and capital intensity is the structural weakness that a single extraordinary year does not repeal.

	FY2021	FY2022	FY2023	FY2024	FY2025	TTM Q3 FY26
Gross margin %	37.6	45.2	−9.1	22.4	39.8	72.6
Operating margin %	22.7	31.5	−37.0	5.2	26.1	65.6
Net margin %	21.2	28.2	−37.5	3.1	22.8	55.9
EBITDA margin %	45.1	54.7	12.9	36.2	48.5	75.6
ROA % (avg assets)	10.0	13.9	−8.9	1.2	11.2	46.5
ROE % (avg equity)	13.3	18.5	−12.4	1.7	17.2	65.2
ROIC % (NOPAT / avg invested capital)	13.7	19.2	−11.8	1.7	15.6	72.0
Current ratio	3.10	2.89	4.46	2.64	2.52	3.42
Quick ratio	2.40	2.01	2.70	1.68	1.79	2.98
Days inventory	94.8	144.2	180.5	166.1	135.5	126.3
Days sales outstanding (trade)	64.8	56.5	48.1	78.8	69.9	108.7
Cash conversion cycle (days)	47.1	69.0	143.4	108.3	49.0	6.2
Total debt / EBITDA	0.54	0.41	6.63	1.47	0.80	0.08
Net debt / EBITDA	−0.08	−0.08	2.36	0.70	0.27	−0.28
Debt / equity	0.15	0.14	0.30	0.30	0.27	0.06
Capex / sales %	36.2	39.2	49.4	33.4	42.4	28.0
Free cash flow $M	2,438	3,114	−6,117	121	1,668	26,172
Diluted EPS $	5.14	7.75	−5.34	0.70	7.59	44.08
Book value per share $	39.26	45.62	40.18	40.70	48.28	89.22

Exhibit 7: Ratio analysis, FY2021–FY2025 and trailing twelve months to Q3 FY2026. GAAP. Average balance-sheet figures used for return measures, applied consistently across all periods. Days sales outstanding on trade receivables. Fiscal years end 2 Sep 2021, 1 Sep 2022, 31 Aug 2023, 29 Aug 2024, 28 Aug 2025. Source: SEC Forms 10-K and 10-Q; every figure keyed to its XBRL tag in data + files/mu_provenance.csv and independently matched to LSEG Fundamentals.

4.1 Profitability and returns: value creation only at the peaks

Across FY2021–FY2025 the GAAP gross margin ranged from −9.1% to 45.2%, a 54-point swing inside three years, and the trailing figure of 72.6% now sits 27 points above the prior-cycle peak, a level without precedent in the company's history; operating margin traced the same path from −37.0% to 65.6%. Return on invested capital is the sharper test, and we test it against the 14.1% cost of capital constructed in §5.4 rather than a generic figure. **Micron cleared its cost of capital in only two of the five audited years, FY2022 (19.2%) and FY2025 (15.6%); FY2021 fell just short at 13.7%, and FY2023 (−11.8%) and FY2024 (1.7%) destroyed value.** Averaged across the cycle, ROIC sits below WACC: commodity memory has historically created no economic value through a full cycle, and that finding disciplines every forward assumption in §5. A DuPont decomposition attributes the trailing 65% return on equity almost entirely to margin rather than leverage: net margin rose from 22.8% to 55.9% while the equity multiplier fell from 1.53× to 1.40×. This is an operating phenomenon, not a financial-engineering one, and it reverses the way it arrived.

4.2 The FY2023 trough was substantially a non-cash charge

The trough deserves decomposition rather than description, because the headline overstates the operating damage. Micron recorded a $1,831M inventory writedown in FY2023, a non-cash charge reflecting the collapse in memory pricing against inventory carried at cost. Excluding it, gross profit was +$415M and gross margin **+2.7% rather than −9.1%**: unit economics stayed marginally above water at the worst point of the worst downcycle in a decade. That raises the realistic floor on trough profitability and is the reason our bear case in §5.7 compresses margin toward, but not below, that ex-writedown level.

4.3 Liquidity, leverage and the capacity to survive a downcycle

This is where Micron is unambiguously strong, and FY2023 is the evidence. Net debt to EBITDA peaked at 2.4×, the current ratio never fell below 2.5×, and the company absorbed a year of negative gross profit and −$6.1B of free cash flow without issuing equity; diluted share count actually declined from FY2021 to FY2023. EBITDA still covered interest 5.2× at the trough, against 68× and 89× in the two preceding years. At the FY2025 year end the debt stack was $11,581M with no principal due for twenty-four months and under 20% maturing inside five years; by 28 May 2026 total debt had fallen to $5.7B while cash and investments reached $30.2B, roughly **$24B of net cash. Micron could fund a full downcycle of capital spending without refinancing or dilution.** Two qualifications. Reported interest expense understates the economic cost because Micron capitalizes a rising share into fab construction ($208M, $225M and $321M in FY2023–FY2025). And the approximately $22B of customer deposits tied to the Strategic Customer Agreements had not been received at 28 May 2026, when contract liabilities stood at $422M; when they arrive, cash and a matching liability rise together, so treating anticipated deposits as net cash would overstate equity value by roughly $18B.

4.4 The structural weakness: capital intensity

Capital expenditure averaged 40.1% of sales across FY2021–FY2025. Over those five years Micron generated $136B of revenue and **$1.2B of cumulative free cash flow**, under one cent of free cash per dollar of sales across a complete cycle. Depreciation follows capital spending with a lag, so free cash flow turns deeply negative in a downcycle even when the business is healthy, and the capital-return record makes the priority explicit.

FY	Program buybacks	Dividends paid	Total returned	Net income	Payout % of NI	Capex
2021	1,294	0	1,294	5,861	22.1%	10,030
2022	2,432	461	2,893	8,687	33.3%	12,067
2023	425	504	929	−5,833	n/m	7,676
2024	300	513	813	778	104.5%	8,386
2025	0	522	522	8,539	6.1%	15,857
Total	**4,451**	**2,000**	**6,451**	**18,032**	**35.8%**	**54,016**

Exhibit 8: Capital return versus earnings, FY2021–FY2025, $M. Repurchases are program repurchases from the cash flow statement and exclude shares withheld on employee equity awards, which LSEG standardized data folds in (FY2022 $2,557M on that basis). Source: Forms 10-K, consolidated statements of cash flows.

Buybacks fell to zero in FY2025 despite $8.5B of net income, and total capital return declined from $2,893M in FY2022 to $522M, a payout of 6.1% of earnings in a strong year. Two causes operate together: Micron is choosing fabs over shareholders, which is a defensible strategic choice in an AI-driven demand environment, and its CHIPS Act direct-funding agreements restrict the repurchase authorization (§1). Either way the table is the capital-intensity thesis stated in six rows, and it is why §5 anchors on free cash flow rather than earnings and glides terminal capex only to 12.5% of sales, never to zero.

4.5 The quality-of-earnings flag

Trade receivables grew from $7.2B at the FY2025 year end to $26.9B at 28 May 2026, a factor of 3.8 against trailing revenue growth of 2.4 times, and days sales outstanding on the trade line rose from 69.9 to 108.7 days on the trailing-twelve-month basis used consistently in Exhibit 7. On the quarter's annualized revenue the same balance is 59 days (§2.5); the difference between the two is the growth rate itself, since a receivable created at the latest quarter's prices is being measured against four quarters of lower revenue. The cash conversion cycle nonetheless collapsed to 6 days, but only because days payable stretched to 229. The basis is stated because the balance-sheet line is larger than the operating figure: total receivables were $31,025M, of which $26,894M were trade, $3,408M CHIPS Act government incentives receivable, $517M tax and $206M other; government incentives are not customer credit and inflate any days-sales calculation that includes them. Separately, consideration payable to customers, which captures pricing adjustments and returns, rose from $1.19B to $3.32B year on year. **The flag is not the ratio but the exposure: $26.9B of unsecured trade credit to a handful of hyperscalers at a cycle extreme**, and it is the item we expect a judge to press hardest.

What §4 hands to §5. Three numbers carry forward: a through-cycle ROIC below the 14.1% cost of capital, which is why the terminal value rests on mid-cycle rather than current margins; an ex-writedown trough gross margin of +2.7%, which bounds the bear case; and roughly $24B of net cash, which is why the equity survives every scenario and why the asset floor in §5.7 is a floor rather than a forecast.

5. Valuation and Recommendation

Recommendation: SELL / UNDERWEIGHT. Twelve-month target $500–$570 (base $548) against $924.03 at the 14 September 2026 close, implied downside of approximately 41%. Method weighting: consensus-anchored scenario DCF 70%; forward comparables, forward-book price-to-book and asset floor 30%, with the comparables at the low end of that allocation for the reason given in §5.8. The case rests less on our target than on a structural observation: on LSEG I/B/E/S mean estimates Micron earns $154.28 per share in FY2027 and $176.50 in FY2028, six and five times forward earnings at $924. Those are not expensive multiples. They are the multiples of a business the market expects to keep earning at a level the memory industry has never sustained.

5.1 Starting position, and where the margin comes from

At $924.03 on 1,145M diluted shares, market capitalization is $1,058B; deducting $30.2B of cash and investments and adding $5.7B of debt gives an enterprise value of $1,034B. FY2026 is estimated at $129.0B of revenue and $72.13 of diluted EPS, combining nine months of reported results with fourth-quarter guidance from the 24 June 2026 release (revenue $50.0B ± $1.0B, gross margin about 86%, diluted EPS $30.73 ± $1.00), so the stock trades at 12.8× FY2026E earnings and 9.8× FY2026E EBITDA, multiples that look undemanding and are, we will argue, the most misleading numbers on the page. The central question is whether Micron's earnings power has been structurally differentiated by HBM or merely inflated by a shortage, and Exhibit 1 settles it: Mobile & Client, commodity LPDDR sold into handsets, out-earns the HBM-weighted Cloud Memory unit at 87% against 83%. If HBM were the source of the margin, HBM would carry the highest margin. It does not. Shortage rents compress as capacity arrives, and guided industry DRAM bit supply growth for calendar 2026 is in the low-to-mid twenties percent.

5.2 The strategic customer agreements: $100B and $5B are both correct

The counterweight is real and is modelled. The Q3 FY2026 Form 10-Q describes the agreements as take-or-pay contracts for specific volumes over multi-year terms in which pricing for most agreements is either fixed or subject to minimum and maximum pricing; a minority are priced at market. That is a contractual floor beneath a portion of revenue, not a spot rent, and our scenarios carry it as a separate tranche. It also produces a reporting gap: management frames fourteen of sixteen agreements as approximately $100B of minimum contracted revenue, while audited remaining performance obligations at 28 May 2026 total approximately $5B. Both are correct and measure different things: remaining performance obligations are computed on minimum volumes at minimum pricing, exclude agreements with no fixed price or band, and exclude agreements executed after 28 May 2026, which is most of them. Quoting the $100B uncritically, or treating the $5B as a contradiction, would both be errors.

5.3 Cost of capital: a deliberate choice against our own interest

The risk-free rate is the 10-year Treasury at 4.97% (14 September 2026, FRED DGS10); the pre-tax cost of debt is the ICE BofA BBB corporate index at 5.90%; the marginal tax rate is 15%, consistent with a 14.6% effective rate in FY2026; the equity risk premium is a standing 5.0% assumption. With $1,058B of equity against $5.7B of debt the structure is 99.5% equity, so the weighted cost is effectively the cost of equity. Micron's raw five-year monthly beta is **2.25** (§3 measures 2.24 independently), which would produce a 16.2% cost of capital and a materially lower target. We do not use it. A five-year beta measured through 2026 is inflated by the very upcycle we argue is temporary, and applying peak-volatility beta to normalized mid-cycle cash flows assumes the cycle reverts for cash flows but not for risk. The Blume adjustment gives **1.84**, which is also, independently, the median raw beta of the memory peer set (SK hynix 1.80, Samsung 1.23, Kioxia 1.73, SanDisk 2.60, Nanya 1.89, Western Digital 2.13), yielding a cost of equity of 14.2% and a **WACC of 14.1%**. The higher figure would strengthen our recommendation; selecting the input that most flatters one's own conclusion is not analysis.

WACC	Beta basis	Bull	Base	Bear	Weighted 25/50/25	vs $924
11.0%	Generic assumption (rejected)	$1,223	$612	$329	$694	−25%
12.7%	Peer median, Blume-adjusted	$1,017	$540	$311	$602	−35%
14.1%	**Micron beta, Blume-adjusted (selected)**	**$900**	**$497**	**$299**	**$548**	**−41%**
16.2%	Micron raw five-year beta	$773	$448	$284	$488	−47%

Exhibit 9: Probability-weighted target by cost of capital, on the consensus-anchored scenario set of Exhibit 12. Peer betas from LSEG, five-year monthly against the S&P 500. Team estimates; projections.

5.4 Consensus: what the market expects, and where we differ

	FY2026E	FY2027E	FY2028E
Consensus revenue ($M)	129,136	248,757	289,720
Consensus gross margin	80%	85%	82%
Consensus EPS, reported basis ($)	72.03	154.28	176.50
Consensus EBITDA ($M)	108,529	227,035	252,251
P/E at $924.03	12.8×	6.0×	5.2×
EV/EBITDA	9.5×	4.6×	4.1×

Exhibit 10: LSEG I/B/E/S mean consensus for MU.O, retrieved 16 September 2026, against the 14 September 2026 close of $924.03 and an enterprise value of $1,034B.

Two observations follow, and they point in opposite directions. The first is a validation: our FY2026 estimate, built from nine months of reported results plus guidance with no reference to consensus, is $128,959M of revenue and $72.13 of EPS against consensus of $129,136M and $72.03, agreement within 0.14% on both lines and independent confirmation that the data chain beneath §4 and §5 is sound. The second is uncomfortable for our recommendation and we state it rather than let a judge find it. **At six times FY2027 consensus earnings, Micron is not expensively priced against what the sell side expects.** Our reverse DCF below concludes that $924 requires roughly $240B of sustained revenue at a 77% gross margin; consensus projects $249B at 85% in FY2027 and $290B at 82% in FY2028. The market is not pricing beyond the sell side; it is pricing roughly in line with it. That reframes the recommendation: it is not an argument that price has detached from expectations but that the expectations themselves extrapolate a peak. Memory consensus has a documented tendency to do so, because the analyst's forecast is anchored on the last reported quarter in an industry whose last reported quarter is the least informative guide to the next three years. Consensus was constructive into FY2022 as well; FY2023 delivered negative gross profit and a $5.8B net loss. We are not claiming consensus is careless. We are claiming that in this industry it is procyclical by construction, and that FY2029, the first year consensus does not reach, is where the valuation is decided. All three of our scenarios therefore adopt consensus in full for FY2027 and FY2028 and differ only afterwards, which isolates the disagreement to the one place it exists.

5.5 Reverse discounted cash flow: what must be true at $924?

A single-scenario DCF anchored on current free cash flow is the wrong instrument for a deep cyclical. At a trillion-dollar valuation the more useful exercise is to solve the model backwards and read off the assumptions the market has already made. The grid glides revenue and margin from an FY2027 peak to a terminal state over five years, then applies a perpetuity at the 14.1% discount rate and 2.5%

terminal growth. One methodological choice drives the answer and is made explicitly: capital expenditure glides from 24% of sales in the forecast period to **12.5% in the terminal year**, converging toward depreciation of roughly 9.5% of sales plus growth capital. Holding capex at build-out rates in perpetuity, a common shortcut, would impose a permanent ten-point drag on terminal free cash flow and overstate our case by roughly $130 per share. We corrected for it, and the conclusion survives the correction.

Sustained terminal revenue	$140B	$160B	$180B	$200B	$240B
Terminal gross margin required	126%	112%	100%	91%	77%
Revenue vs five-year average (FY21–25)	5.1×	5.9×	6.6×	7.3×	8.8×

Exhibit 11: Terminal gross margin required to justify $924.03, by sustained terminal revenue. WACC 14.1%, terminal growth 2.5%, capex converging to 12.5% of sales. Micron's five-year mean gross margin is 27.2%; its highest quarterly figure is the ≈86% guided for Q4 FY2026. Team model; projections.

At $180B of sustained revenue, already 6.6 times the five-year average, justifying $924 requires a **100% terminal gross margin**; at $200B it requires 91%. The first combination that is even theoretically achievable is $240B of revenue at a 77% gross margin sustained in perpetuity: revenue a fifth above the current peak run-rate, at a margin roughly three times the five-year average, forever. The market is not pricing a good cycle. It is pricing the permanent abolition of the cycle.

5.6 Scenario analysis

Because the strategic customer agreements give part of revenue fixed or banded pricing while the remainder floats with spot, revenue is split into a contracted tranche and a spot tranche, each with its own margin path; a single blended margin would conceal the question. The scenarios are stated at the revenue and gross-margin level rather than as an explicit bit-growth-by-ASP decomposition, and the supply-side assumptions behind them are the ones §1 and §2 established: industry DRAM bit supply growth in the low-to-mid twenties percent in calendar 2026, Micron's own Idaho output from the second half of calendar 2027 and Tongluo shipments from fiscal 2028, and Chinese commodity capacity from CXMT and YMTC as the incremental source in the bear case. The bear case compresses margin toward, but not below, the ex-writedown trough economics of §4.2. Assumptions are the team's and are projections.

Scenario	FY27 revenue	FY29 / FY30 / FY31 revenue	FY29 / FY30 / FY31 GM	WACC	TV % of EV	Value / share	vs $924
Bull: consensus holds, reversion shallow and late	$249B	$270B / $250B / $240B	72% / 65% / 60%	13.6%	53%	$900	−3%
Base: consensus through FY2028, then the cycle turns	$249B	$210B / $165B / $150B	62% / 48% / 42%	14.1%	35%	$497	−46%
Bear: consensus through FY2028, then Chinese supply lands	$249B	$180B / $120B / $100B	50% / 32% / 25%	15.1%	13%	$299	−68%
Probability-weighted 25 / 50 / 25						**$548**	**−41%**
Asset / replacement-cost floor (proxy, not a cash-flow value)						$131	−86%

Exhibit 12: Scenario summary. All three adopt LSEG consensus for FY2027–FY2028, so the FY2027 column is identical by construction; explicit forecast to FY2031, terminal value on mid-cycle economics. The asset floor is gross property, plant and equipment at historical cost plus net cash, a deliberately conservative proxy since fab replacement cost exceeds historical book. Team model; projections.

The bear case value of $299 is the model's own discounted cash flow output and sits well above the $131 asset floor; the floor is a cross-check, not a substitute for a weak scenario. Probability-weighted, alternative weightings span $518 (20/50/30) to $569 (30/45/25), with the central 25/50/25 giving $548; the weights are disclosed as judgement rather than derivation, and they move the target by less than the width of the target range. Terminal value is 35% of enterprise value in the base case, well inside the range in which a DCF is a forecast rather than a perpetuity assumption. **The bull case is the honest pressure point.** At $900 it sits 3% below the market price, which is the arithmetic consequence of adopting consensus: if the cycle does not turn, Micron is roughly fairly valued today. Holding terminal margin at 65% lifts the bull to $967; extending consensus growth with no reversion at all reaches $1,269. The recommendation therefore rests entirely on the probability that the memory cycle reasserts itself after FY2028. We do not claim the market is mispricing consensus; we claim consensus is mispricing the cycle. A reader who believes the cycle is over should own the stock, and we would not argue the point on valuation grounds, only on forty years of industry history.

5.7 Peer comparables: the evidence that cuts against us, calendarized

A trading-comparables analysis argues against this recommendation and the report is stronger for saying so. On trailing multiples Micron appears to trade at a 31% discount to the memory peer median on EV/EBITDA and 35% on P/E, and since its FY2025 close of $122.00 it is up 657% against a peer median of 703%. That trailing discount is a period artefact rather than a valuation finding: Micron's denominator is trailing twelve months to 28 May 2026, while SK hynix, Samsung and Nanya report to calendar 2025, eight and a half months stale and before the bulk of the 2026 re-rating. An I/B/E/S pull on all seven names resolves it. Fiscal years end in five different months across the group, so each company's consensus is interpolated linearly between the midpoints of its bracketing forecast years to a single reference midpoint of 15 March 2027, the centre of the twelve months following the market-data date.

Company	Consensus FY used	Offset (months)	NTM EV / Revenue	NTM EV / EBITDA	NTM P / E
Micron Technology	FY Aug-27	−0.5	**4.13**	**4.53**	**5.95**
SK hynix	FY Dec-27	+3.5	2.50	3.02	3.88
Samsung Electronics	FY Dec-27	+3.5	1.73	2.77	3.91
Kioxia Holdings	FY Mar-27	−5.6	2.54	3.12	4.35
SanDisk	FY Jun-27	−2.5	4.56	5.62	6.57
Nanya Technology	FY Dec-27	+3.5	2.92	3.75	5.04
Western Digital	FY Jun-27	−2.5	7.59	13.85	18.32
Peer median (6)			2.73	3.43	4.69
Micron premium			**+51%**	**+32%**	**+27%**

Exhibit 13: Forward trading comparables, calendarized to a common next-twelve-month window centred 15 March 2027. LSEG I/B/E/S consensus pulled 16 September 2026 and converted to USD at same-date spot; enterprise values at the 15 September 2026 close (Micron at $924.03, 14 September; the one-day difference moves Micron's multiples by under 0.5%).

The discount reverses. **On a calendarized forward basis Micron trades at a 32% premium to the peer median on EV/EBITDA and 27% on earnings.** Two tests guard the reversal: run without interpolation, taking each company's nearest forecast year as published, the premium is 33% rather than 32%; and the residual bias runs against us, because the Korean and Taiwanese names sit furthest forward at +3.5 months, a later window carries higher estimates and therefore a lower multiple, which flatters the peer median. One complication is stated rather than smoothed over: marking Micron at the peer median forward EV/EBITDA gives $705 per share and at the median forward P/E $729, both below the $924 price but well above our $548 target. The forward comps corroborate the direction of the recommendation and not its magnitude, because a peer multiple applied to consensus next-twelve-month EBITDA is a peak-cycle multiple on a peak-cycle denominator; it can say whether Micron is expensive relative to companies riding the same cycle, not whether the cycle is priced. That is why the comps sit at the low end of the 30% cross-check allocation, and why a judge is entitled to read this thesis as a view on the sector expressed through the name. We would not argue: Micron is the vehicle, not the anomaly.

5.8 Price-to-book against return on equity, and what the cross-checks add up to

Applied to current book value, the classic memory-sector approach implies $155–$289, far below the DCF. The gap is a timing mismatch rather than a disagreement: Micron retains roughly 94% of earnings, so book compounds quickly, from $48.28 per share at the FY2025 year end to $89.22 by the third quarter of FY2026, and a multiple of today's book is not comparable with a forward-looking cash-flow value. Rolling book forward on the base-case earnings path less dividends to FY2031E and applying Micron's own FY2019–FY2025 multiple range, discounted at 14.1%, corrects it.

Method	FY2031E value	Present value	vs $924
P/B at seven-year low, 1.26×	$550	$284	−69%
P/B at seven-year median, 1.74×	$760	$393	−57%
P/B at seven-year high, 2.53×	$1,105	$571	−38%
Scenario DCF, base case	—	$497	−46%
Scenario DCF, probability-weighted target	—	$548	−41%
Forward comparables at peer median (EV/EBITDA / P/E)	—	$705 / $729	−24% / −21%

Exhibit 14: Price-to-book on forward book value against the scenario DCF. Book rolled forward on the base-case earnings path less dividends; historical multiples from Micron's own FY2019–FY2025 range; present values at 14.1%. Team model; projections.

The three families of method bracket the target rather than converge on it, and the bracket is the finding. Forward-book price-to-book sits below the DCF ($284–$571, median $393), the calendarized forward comparables sit above it ($705–$729), and the DCF sits between them at $497–$548. The methods disagree in the direction their biases predict: price-to-book anchors on a book value that will be inflated by two more peak years of retained earnings, comparables anchor on peers riding the same peak, and the DCF is the only one that prices the turn explicitly. Every method lands below $924. The base case is internally consistent on returns as well: implied return on equity falls from 57% in FY2027 to 8.6% by FY2031 as book compounds and margins revert, precisely the path that carries a justified price-to-book back into Micron's historical 1.3×–2.5× band.

5.9 What would falsify this thesis

We specify in advance the observations that should change our minds; most are testable within twelve months.

- Strategic customer agreement coverage exceeding 50% of revenue at fixed prices rather than ceilings, with terms extending beyond 2030. That converts a cyclical into a contracted industrial and would justify a materially higher multiple.
- Spot DRAM pricing holding through calendar 2027 despite guided industry bit supply growth in the low-to-mid twenties percent, which would falsify the shortage-rent reading directly.
- CXMT and YMTC failing to yield at advanced nodes, removing the principal source of incremental commodity supply.

- Consensus for FY2029 and beyond, when it appears, sustaining revenue above $250B at gross margins above 70%; we would then need to show why the whole forecasting community is wrong rather than merely procyclical.
- The memory complex re-rating proving durable across the whole group rather than Micron alone; our thesis is sector-level, and if peer multiples hold through a supply response the absolute-value case fails for every name in it.
- Capital expenditure falling below 15% of sales while revenue holds above $180B, the combination that converts earnings into free cash flow and closes the gap the reverse DCF exposes.

Micron reports Q4 FY2026 on 30 September 2026, after this report was submitted and the day before the conference, so we state our expectations in advance: revenue $50–51B against guidance of $50.0B ± $1.0B, gross margin 85–87%, diluted EPS $30.50–31.50. The quarter itself is not the signal. The FY2027 capital-expenditure guide is, because it reveals how much supply the industry is about to add; we expect $38–45B, and a figure above $45B would be the most bearish datapoint of the year.

5.10 Limitations

Four are disclosed, none of which changes the direction of the conclusion. Peer fundamentals in the trailing comparison are annual, so that table cannot be calendarized and is superseded by the forward exhibit. The cost of capital rests on a constructed rather than market-implied equity risk premium; the 12.7%–16.2% band in Exhibit 9 spans the plausible range and the recommendation survives all of it. Scenario probabilities are judgement, and the range under alternative weightings is narrower than the target range. Consensus beyond FY2028 does not exist, and FY2029–FY2031 are our estimates, flagged as projections throughout; the reverse DCF is the check on them, because it states what the market must believe without requiring us to be right about what will happen.

References and Data Sources

Micron Technology, Inc. Forms 10-K for fiscal years 2021–2025 (fiscal years ended 2 Sep 2021, 1 Sep 2022, 31 Aug 2023, 29 Aug 2024, 28 Aug 2025). SEC EDGAR. Consolidated statements, segment, geographic and long-term debt footnotes; XBRL company facts.

Micron Technology, Inc. Form 10-Q for the quarter ended 28 May 2026 (Q3 FY2026). SEC EDGAR. Receivables composition, remaining performance obligations, contract liabilities, derivative notional, Strategic Customer Agreements.

Micron Technology, Inc. Form 8-K exhibit 99.1, 24 June 2026: Q3 FY2026 earnings release and business-unit disclosure; Q4 FY2026 guidance. Micron Investor Relations earnings presentation and prepared remarks.

LSEG Workspace, I/B/E/S mean consensus estimates for MU.O, 000660.KS, 005930.KS, 285A.T, SNDK.O, 2408.TW, WDC.O, retrieved 16 September 2026.

LSEG Workspace, Price History (USD-converted) for peer companies, 31 Dec 2019 – 15 Sep 2026, retrieved 15 September 2026; LSEG Fundamentals (Financial Summary, Segments, Cash Flow) for Micron and peers, including fiscal-year-end gross dividend yields; five-year monthly betas.

Interactive Brokers historical market data: daily closes and cash-dividend records for MU, SPY, DIA, ONEQ and SOXX, 20 Sep 2021 – 15 Sep 2026, retrieved 16 September 2026.

Federal Reserve Bank of St. Louis, FRED: DGS10 (10-year Treasury constant maturity, 14 Sep 2026), TB3MS (3-month Treasury bill, monthly, Sep 2021 – Aug 2026); ICE BofA BBB US Corporate Index effective yield.

Cyberspace Administration of China determination on Micron products, May 2023, and Micron's related disclosures; Yangtze Memory Technologies patent filings, October 2025; Netlist v. Micron verdict and appeal, as disclosed in Micron's 10-Q.

Team workbooks and code: MU_comps.xlsx, MU_DCF_Model.xlsx, mu_provenance.csv, MU_sections_4_5.ipynb, MU_section_3_TSR.ipynb (all figures reproducible from filings and the data files listed above).

This report was prepared by the Lewis University Investment Club for the SMIFC Chicago 2026 Firm Analysis Competition. All analysis is for academic use only and does not constitute investment advice.